

years in the *future* and then multiplying that estimate by an appropriate “capitalization factor.”

The now-standard procedure for estimating future earning power starts with average *past* data for physical volume, prices received, and operating margin. Future sales in dollars are then projected on the basis of assumptions as to the amount of change in volume and price level over the previous base. These estimates, in turn, are grounded first on general economic forecasts of gross national product, and then on special calculations applicable to the industry and company in question.

An illustration of this method of valuation may be taken from our 1965 edition and brought up to date by adding the sequel. The Value Line, a leading investment service, makes forecasts of future earnings and dividends by the procedure outlined above, and then derives a figure of “price potentiality” (or projected market value) by applying a valuation formula to each issue based largely on certain past relationships. In Table 11-2 we reproduce the projections for 1967–1969 made in June 1964, and compare them with the earnings, and average market price actually realized in 1968 (which approximates the 1967–1969 period).

The combined forecasts proved to be somewhat on the low side, but not seriously so. The corresponding predictions made six years before had turned out to be overoptimistic on earnings and dividends; but this had been offset by use of a low multiplier, with the result that the “price potentiality” figure proved to be about the same as the actual average price for 1963.

The reader will note that quite a number of the individual forecasts were wide of the mark. This is an instance in support of our general view that composite or group estimates are likely to be a good deal more dependable than those for individual companies. Ideally, perhaps, the security analyst should pick out the three or four companies whose future he thinks he knows the best, and concentrate his own and his clients’ interest on what he forecasts for them. Unfortunately, it appears to be almost impossible to distinguish in advance between those individual forecasts which can be relied upon and those which are subject to a large chance of error. At bottom, this is the reason for the wide diversification practiced by the investment funds. For it is undoubtedly better to concentrate on one stock that you *know* is going to prove highly profitable, rather than dilute your results to a mediocre figure, merely for diversification’s sake. But this is not done, because it cannot be done *dependably*. ⁴ The prevalence of wide